

The Complete Financial Guide for Young Couples

In other words, they didn't have any cash. Their assets were leveraged and required regular payments, and when the payments came due but couldn't be met, they lost everything.

Almost exactly the same thing happened in the oil industry during the mid 1980s. Men whose net worths were in the millions lost everything they owned, including their homes.

I recall an oilman I met in the late '70s. He was a committed believer and a member of the Christian Oilmen's Association. He had gotten into the oil business just before the oil embargo and had seen the price of oil go from about \$6 a barrel to over \$30. It seemed that everything he touched turned to gold, and he was thoroughly hooked on the Christian "prosperity message." He literally believed that his giving guaranteed him immunity from economic problems.

As I got to know him, I found that he was worth millions through the oil leases he owned as well as several drilling operations. But everything was leveraged to the limit. He used every increase in oil prices to borrow more against his reserves so that he could expand further.

When I challenged him on the principle of surety, he became very defensive and ducked behind the normal Christian escape, "God told me to do it." He said he prayed regularly about every decision and God confirmed his actions through the increase in his assets. He had also adopted a good economy mentality. He believed the economy would continue to inflate and carry oil prices with it. What he didn't realize was that much of the inflation was due to the increasing oil prices.

The early '80s saw the price of oil plummet as the oil cartel fell apart. At the same time the new president, Ronald Reagan, waged a war against inflation through high interest rates to choke off the money supply. Also about this time worldwide conservation began to reduce the demand for oil. This triple blow crippled the oil industry.

The mainline companies like Shell, Texaco, and Gulf did fine with their pre-inflation oil leases, but most of the new ventures got wiped out, including this Christian oilman. He could have cashed out in 1979 with perhaps \$20 million; yet in 1986 he